INVESTING

GO FOR GOLD

With the price of 10 grams of 24-carat gold hovering in the Rs 1.2 lakh range, there is renewed interest among investors to include the yellow metal in their portfolios



Illustrations by **SIDDHANT JUMDE**

Gold has always held prime importance in an Indian household, whether in the form of jewellery or as a symbol of wealth, prosperity and divine blessing. Festivals and events such as Diwali, Akshay Tritiya and weddings all have a symbiotic connection with the yellow metal. It hardly comes as a surprise, then, that according to the World Gold Council report, India is the second-largest consumer of gold globally.

So, when the price of the yellow metal shows a rapid escalation—as has happened in recent years—and many central banks have begun to raise their gold reserves, it is natural for people to ask if it makes sense to buy it at these prices. The decision to add gold to your existing investments should not be based solely on the rise in gold prices but rather on clearly assessing how much gold you should have in your portfolio and how it aligns with your existing financial plans.

The economic value of gold has been clear since time immemorial. Scarcity and longevity are factors that attract people to gold as a safe asset or investment, especially in uncertain times. It is widely seen as a hedge against inflation and a safe bet during bear markets, wars and recessions. When viewed over a very long period, gold has not only retained its value, but also outperformed inflation significantly. However, many households may not factor in the gold they possess in physical form as part of their investment portfolio.

BUYING GOLD

You can buy gold in physical form, such as coins, bars and jewellery. These purchases can be from jewellers or agencies that are permitted to sell the metal in the form of coins, biscuits and bars with guaranteed purity. When purchasing in physical form, ensure you have the necessary certificate that verifies authenticity, purity and weight. You have to pay a Goods & Services Tax on the purchase of gold in physical form, which adds to the cost of gold in physical form. There is also the question of safety: when you store gold at home, you are exposed to the risk of theft or other natural disasters. Always keep physical gold safely; if possible, store it in a bank locker or a safe deposit box.

The other way you can invest in gold is through a gold exchange-traded fund (ETF). This is gold in paper form and such gold mutual funds invest in gold mining companies. From time to time, you may also get access to financial instruments such as the Sovereign Gold Bond (SGB), introduced by

WHEN VIEWED OVER A VERY LONG TIME, GOLD HAS NOT JUST RETAINED ITS VALUE, IT HAS OUTPERFORMED INFLATION SIGNIFICANTLY